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Question No: 1 (Marks: 1) - Please choose one

Which of the following is the final mode of payment?

► **Money**
► ATM
► Cheque
► Yet to discover

Question No: 2 (Marks: 1) - Please choose one

Which of the following statement truly represents the main difference between debit card and store value card?

► **Debit card is operated by ATM machine while Store value card doesn't**
► Debit card appearance is different from Store value card
► Debit card is not specific for user but store value card is specific
► Debit card is specific for user but store value card is not

Question No: 3 (Marks: 1) - Please choose one

Which of the following statements is correct?

► If you can buy the same goods this year as you bought last year with less money the money supply decreased.

► **To purchase the same goods today that were purchased one year ago requires more money, there must have been inflation**

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► To purchase the same goods today as one year ago requires less money, the money supply must have increased

► To purchase the same goods today that were purchased one year ago requires the same amount of money, there must have been inflation

Question No: 4 (Marks: 1) - Please choose one

Which of the following is the difference that lies between the options and futures?

► Options is not binding whereas future is binding
► **Futures carry risks but Options didn't carry risk**
► Centralized clearinghouses guarantee futures but not options contracts
► There is no difference between options and futures

Question No: 5 (Marks: 1) - Please choose one

Which of the following describes the general formula for the calculation of the compound interest?

► $FV = PV/(1+i)^n$
► $FV = PV/(1-i)^n$
► **$FV = PV*(1+i)^n$**
► $FV = PV*(1-i)^n$

Question No: 6 (Marks: 1) - Please choose one

What is true about the relationship between standard deviation and risk?

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► **Greater the standard deviation greater will be the risk page35**

► Greater the standard deviation lower will be the risk

► Greater the standard deviation risk will be remained the same

► No relation between them

Question No: 7 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

► Price paid / yearly coupon payment

► Price paid *yearly coupon payment

► Yearly coupon payment / face value of bond

► **Yearly coupon payment / price paid page43**

Question No: 8 (Marks: 1) - Please choose one

The risk premium of a bond will:

► Higher for investment-grade bonds than for high-yield bonds

► Positive but small if the risk of default is zero

► Decrease when the default risk rises

► **Increase when the risk of default rises**

Question No: 9 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

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► **Free-riding**

► Moral hazard

► Adverse selection

► The Lemons market

Question No: 10 (Marks: 1) - Please choose one

Which of the following does not include in marketable securities?

► Common stocks

► Bonds of the U.S. Treasury

► Treasury Bills

► **Non transaction deposits page76**

Question No: 11 (Marks: 1) - Please choose one

_____ is a component of the liability side of the commercial bank's balance sheet.

► **Deposits page77**

► Loans

► Securities

► All of the given options

Question No: 12 (Marks: 1) - Please choose one

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A stand by letter of credit is a form of:

- ► Loan
- ► **Insurance page80**
- ► Security
- ► Deposits

Question No: 13 (Marks: 1) - Please choose one

Funds of depository institution are primarily used in which of the following?

- ► Corporate bonds, Government bonds, Stocks, Mortgage
- ► **Cash, Loan, Securities page89**
- ► Stocks, Government bonds, corporate bonds, commercial papers
- ► Commercial papers, Bonds

Question No: 14 (Marks: 1) - Please choose one

Securities firms include _____.

- ► Brokerage firms
- ► Investment banks
- ► Mutual fund companies
- ► **All of the given options** **Securities Firms** Includes firms whose principal lines of business are in securities brokerage, financial advisory services, investment banking and/or securities trading

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Question No: 15 (Marks: 1) - Please choose one

_____is the combination of the term life insurance and savings account.

- ► Property insurance
- ► Health insurance
- ► **Whole life insurance page86**
- ► Casualty insurance

Question No: 16 (Marks: 1) - Please choose one

Which of the following is a Primary source of funds of Finance company?

- ► **Bonds page89**
- ► Policy benefits to be paid out to futures
- ► Loan guarantees
- ► Shares sold to customers

Question No: 17 (Marks: 1) - Please choose one

What matters most during a bank run is _____.

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► **The liquidity of the bank page90**
► The solvency of the bank
► The number of depositors
► Safety of bank

Question No: 18 (Marks: 1) - Please choose one

Khushhali bank is:

► A Finance company
► A Securities firm
► **A Government sponsored enterprise page88**
► An insurance company

Question No: 19 (Marks: 1) - Please choose one

Under the purchase and assumption method of dealing with a failed bank, the FDIC _____

► Sells the failed bank to the Federal Reserve
► Finds another bank to take over the insolvent bank
► Takes over the day to day management of the bank
► **Sells off the profitable loans of the failed bank in an open auction**

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Question No: 20 (Marks: 1) - Please choose one

On which of the following success of monetary policy depends upon?

► It may be on the chance or by luck
► The institutional environment
► Competent people in responsible positions
► **Both the institutional environment and Competent people in responsible positions**

Question No: 21 (Marks: 1) - Please choose one

For the Federal Reserve, the largest liability on their balance sheet is _____.

► Non-bank currency
► **Reserves**
► Government accounts
► Treasury certificates

Question No: 22 (Marks: 1) - Please choose one

An open market purchase of U.S. Treasury securities by the Fed will cause the Fed's balance sheet to show _____.

► A decrease in the asset of securities and a decrease in the liability of reserves

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► **A decrease in the liability of reserves**
► No change in the size of balance sheet except composition of assets
► An increase in the asset category of securities and the liability category of reserves

Question No: 23 (Marks: 1) - Please choose one

Which one of the following is a primary policy tool of the Central Bank?
► Inflation rate
► Open market operations
► Interest rate
► **Money supply page94**

Question No: 24 (Marks: 1) - Please choose one

_____ is the strategy of buying and selling government securities:
► **Open market operations page102**
► Reserve requirement
► Discount loans
► Cash withdrawal

Question No: 25 (Marks: 1) - Please choose one

The _____ shows how the quantity of money is related to the monetary base:
► **Money multiplier page108**
► Deposit expansion multiplier
► Fiscal multiplier
► Tax multiplier

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Question No: 26 (Marks: 1) - Please choose one

Which of the following is correct?

► **Monetary base = Currency + Reserves page108**
► Monetary base = Currency + Deposits
► Monetary base = Loans + Reserves
► Monetary base = Required reserves + Deposits

Question No: 27 (Marks: 1) - Please choose one

The central bank makes which type of loans?

► Primary credit
► Secondary credit
► Seasonal credit
► **All of the given options page113**

Question No: 28 (Marks: 1) - Please choose one

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Which of the following expresses the equation of exchange?

► **MV = PY page11**
► MV = Y
► MY = PV
► MP = VY

Question No: 29 (Marks: 1) - Please choose one

If the liquidity of alternative assets falls, the demand for money_____

► **Increases page112**
► Decreases
► Remains unchanged
► None of the given option

Question No: 30 (Marks: 1) - Please choose one

Interest rate risk arises as a result of which one of the following consequences?

► It arises when banks make additional profit by using derivatives
► It arises when loan is not repaid
► It arises because of sudden demands of funds
► **It arises when two sides of the balance sheet do not match up**

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Question No: 31 (Marks: 1) - Please choose one

A U.S. institution, United Bank, buys some financial assets denominated in British pounds. Fluctuations in the dollar value of the pound will give rise to:

► Credit risk
► Operational risk
► **Foreign exchange risk page84**
► Country risk

Question No: 32 (Marks: 1) - Please choose one

High State Bank purchases some U.S. Treasury bonds. We would view such bonds as being free of:

► Credit risk
► Interest rate risk
► Reinvestment risk
► **All of the given options**

Question No: 33 (Marks: 1) - Please choose one

In general, if the financial institution's balance sheet displays assets and liabilities that are "mis-matched" to a significant degree, the institution faces:

► Operational risk
► Sovereign risk
► **Interest rate risk page82**

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► Liquidity risk

Question No: 34 (Marks: 1) - Please choose one

The idea that central banks should be independent of political pressure is an idea that:

► Is included in Federal Reserve Act in 1913
► **Is relatively new PAGE98**
► Every central bank was founded upon
► Became quite popular in the early 1900's

Question No: 35 (Marks: 1) - Please choose one

Currency-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

► Central bank
► Bank regulators
► Commercial banks
► **Non bank public page111**

Question No: 36 (Marks: 1) - Please choose one

The real purchasing power of money in circulation is expressed as which of the following?

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► MV·PY
► **M/P page124**
► PY
► M/Y

Question No: 37 (Marks: 1) - Please choose one

The FOMC targets the federal funds rate, but if they are going to alter the course of the economy they must influence which one of the following?

► The money growth rate as well
► The long-term nominal interest rate as well
► **The real interest rate as well**
► The nominal exchange rate as well

Question No: 38 (Marks: 1) - Please choose one

Inflation in the long run would be determined by which one of the following?

► The exchange rate
► Aggregate demand
► **The rate of money growth**

http://www.web-books.com/eLibrary/NC/B0/B61/154MB61.html
In the long run, the rate of inflation will be determined by two factors: the rate of money growth and the rate of economic growth.

► Aggregate supply

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Question No: 39 (Marks: 1) - Please choose one

According to real business cycle theory, aggregate economic fluctuations are caused by changes in:

- ► The money supply
- ► **Fiscal policy**
- ► High unemployment
- ► The natural rate level of output

Question No: 40 (Marks: 1) - Please choose one

Which of the following represents the history of money uptill the modern age?

- ► **Gold/silver coins____Paper Currency____Electronic Fund Transfer**
- ► Paper Currency_____ Gold/Silver coins_____ Electronic Fund Transfer
- ► Electronic Fund Transfer_____ Paper Currency _____Gold/silver coins
- ► Gold/silver coins_____ Electronic Fund Transfer_____ Paper currency

Question No: 41 (Marks: 1) - Please choose one

Zero-Coupon Bonds are pure discount bonds since they sell at a price _____.

- ► Equal their face value
- ► **Below their face value page40**
- ► Above their face value
- ► None of the given options

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Question No: 42 (Marks: 1) - Please choose one

_____ pool money from individuals and invest in different portfolio and return is distributed in different share holders.

- ► Mutual funds
- ► Investment banks
- ► Brokers
- ► **Finance companies**

Question No: 1 (Marks: 1) - Please choose one

Among the following which one is less liquid asset?

- ► Checking account
- ► **Car**
- ► Share
- ► Debit card

Question No: 2 (Marks: 1) - Please choose one

Which one of the following is the primary cause of inflation?

- ► Decreased money supply
- ► **Increased money supply**
- ► Decreased interest rates

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► Increased purchasing power

Question No: 3 (Marks: 1) - Please choose one

In order to understand the link among money, inflation and economic growth We need to measure which of the following?

► Quantity of money
► Volume of demand deposits
► **Inflation rates**
► Interest rates

Question No: 4 (Marks: 1) - Please choose one

A borrower is promised a $100 payment (including interest) one year from today. If the lender has an 8% opportunity cost of money, he should be willing to accept what amount today?

► Rs.100.00
► Rs.108.20
► **Rs.92.59**
► Rs.96.40

Question No: 5 (Marks: 1) - Please choose one

Which of the following provides the greatest incentive to borrow?

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► A high real interest rate
► A low real interest rate
► A high nominal interest rate
► **A low nominal interest rate**

Question No: 6 (Marks: 1) - Please choose one

The relationship between the price and the interest rate for a zero coupon bond is best described as _____.

► Volatile
► Stable
► **Inverse page41**
► No relationship

Question No: 7 (Marks: 1) - Please choose one

The coupon rate of bond:

► **Is another term for the current yield**
► Is another term for the yield to maturity
► Could not be calculated for a zero-coupon bond
► None of the given options

Question No: 8 (Marks: 1) - Please choose one

Which of the following best describes default risk?

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► **The chance the issuer will be unable to make interest payments or repay principal page51**

► The chance the issuer will retire the debt early

► The chance the issuing firm will be sold to another firm

► The chance the issuer will sell more debt

Question No: 9 (Marks: 1) - Please choose one

Which of the following ratings shows "Highest quality and credit worthiness"?

► **AAA page53**

► AA

► BB

► A

Question No: 10 (Marks: 1) - Please choose one

Considering the Liquidity Premium Theory, if investors expect short term interest rates to decrease:

► The yield curve must have a positive slope

► **The yield curve must be inverted**

► The yield curve could be flat

► The slope of the yield curve should actually increase

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Question No: 11 (Marks: 1) - Please choose one

Stock market bubbles can lead to:

► An inefficient allocation of resources

► **Stock market crashes page67**

► Patterns of volatile returns from the stock market

► All of the given options

Question No: 12 (Marks: 1) - Please choose one

Which of the following does not include in the bank's reserves?

► **Treasury bills page76**

► Currency in the bank

► Bank's deposits at the Federal Reserves

► Currency in ATM machines

Question No: 13 (Marks: 1) - Please choose one

Which of the following is a Depository institution?

► Commercial bank

► Savings institution

► Credit union

► **All of the given options page76**

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Question No: 14 (Marks: 1) - Please choose one

A bank's Return on Equity is calculated by which of the following?

► Dividing the banks liabilities by the bank's capital
► **Dividing the bank's net profit after taxes by the bank's capital page78**
► Bank's assets plus the net profit after taxes and dividing this sum by the bank's capital
► Dividing the bank's net profit after taxes by the sum of the bank's assets and its liabilities

Question No: 15 (Marks: 1) - Please choose one

_____ is a component of the liability side of the commercial bank's balance sheet.

► **Deposits page77**
► Loans
► Securities
► All of the given options

Question No: 16 (Marks: 1) - Please choose one

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Which one of the following is the key function of banks and insurance companies?

► pooling the savings of many investors
► **Spreading risk**
► Accepting deposits
► both pool the savings of many investors and spread risk

Question No: 17 (Marks: 1) - Please choose one

Pooling of small savings to provide loans is a function of which of the following institution?

► Insurance company
► **Depository Institutions (Bank) page89**
► Investment Bank
► Securities firm

Question No: 18 (Marks: 1) - Please choose one

Funds of depository institution are primarily used in which of the following?

► Corporate bonds, Government bonds, Stocks, Mortgage
► **Cash, Loan, Securities page89**

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► Stocks, Government bonds, corporate bonds, commercial papers
► Commercial papers, Bonds

Question No: 19 (Marks: 1) - Please choose one

Which one of the following refers to the risk assessment and loss reimbursement guarantee by the individual risk experts of the relevant field?

► **Underwriting process page86**
► Insurance process
► Research process
► None of the given options

Question No: 20 (Marks: 1) - Please choose one

The federal government is concerned about the health of the banking system for many reasons. Which of the following reason is the most important?

► Banks are where government bonds are traded.
► A significant number of people are employed in the banking industry.
► **Banks are of great importance in enabling the economy to operate efficiently.**
► Many people earn the majority of their income from interest on bank deposits.

Question No: 21 (Marks: 1) - Please choose one

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"The Government is too big to fail" policy applies to the_____.

► Bank run in specific highly populated states which impacts a large percent of the total population
► Banks that have branches in more than two states
► Large corporate payroll accounts held by some banks where many people would lose their income
► **Large banks whose failure would certainly start a widespread panic in the financial system**

Question No: 22 (Marks: 1) - Please choose one

One advantage a central bank has over other businesses including banks is that_____.

► It receives all of its funding from the government
► It doesn't have stockholders
► **It can control its balance sheet at its own will page94**
► It doesn't have a board of directors

Question No: 23 (Marks: 1) - Please choose one

An open market purchase of U.S. Treasury securities by the Fed will cause the Fed's balance sheet to show _____.

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► A decrease in the asset of securities and a decrease in the liability of reserves
► **A decrease in the liability of reserves**
► No change in the size of balance sheet except composition of assets
► An increase in the asset category of securities and the liability category of reserves

Question No: 24 (Marks: 1) - Please choose one

If required reserves are expressed by RR ; the required reserve rate by rD and deposits by D; the simple deposit expansion multiplier is expressed as:

► $r_D D$
► $(1/r_D)$ D
► **$1/r_D$ page108**
► r_D times 10

Question No: 25 (Marks: 1) - Please choose one

Which of the following best completes the statement; if people decrease their currency holdings, all else the same, the monetary base

► Will not change but the quantity of M2 will increase
► Will increase along with the quantity of M2
► **Will decrease along with the quantity of M2**
► There will be no change either to the monetary base or M2

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Question No: 26 (Marks: 1) - Please choose one

Identify the most appropriate statement.
► The FOMC sets the federal funds rate
► The discount rate is the primary policy tool of the FOMC
► The difference between the target and actual federal funds rate is the dealer's spread
► **The FOMC sets the target federal funds rate**

Question No: 27 (Marks: 1) - Please choose one

Interest rate charged on overnight loans between the banks is known as:
► Discount rate
► Inflation rate
► Internal rate of return
► **Target federal funds rate page114**

Question No: 28 (Marks: 1) - Please choose one

Key assumptions behind the quantity theory of money include which of the following?

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► The change in nominal GDP is zero
► Percentage change in the price level equals the percentage change in real GDP
► **The velocity of money is constant page117**
► The money supply is fixed

Question No: 29 (Marks: 1) - Please choose one

Which of the following statements is ***incorrect***?

► The velocity of M2 is more volatile in the short run than the long run
► Money velocity being stable in the long run was correct as per Fisher's assumption
► **The velocity of M2 is less stable than the velocity of M1 Page120**
► The velocity of M2 is relatively stable over long time periods

Question No: 30 (Marks: 1) - Please choose one

Inflation in the long run would be determined by which one of the following?

► The exchange rate
► Aggregate demand
► **The rate of money growth**

http://www.web-books.com/eLibrary/NC/B0/B61/154MB61.html

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In the long run, the rate of inflation will be determined by two factors: the rate of money growth and the rate of economic growth.

► Aggregate supply

Question No: 31 (Marks: 1) - Please choose one

Of all of the component parts of aggregate demand, the part least sensitive to changes in the real interest rate is:

► Investment
► **Government purchases page126**
► Consumption
► Net exports

Question No: 32 (Marks: 1) - Please choose one

If government purchases increase and push current output above potential output, then monetary policymakers are likely to:

► **Raise the real interest rate page130**
► Lower the real interest rate
► Keep the real interest rate constant focusing on changing nominal interest rate only
► Purchase Treasury securities

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Question No: 33 (Marks: 1) - Please choose one

Which one of the following is ***NOT*** true for gap analysis?

► It is the difference between the yield on interest sensitive assets and liabilities
► It is the difference in the maturity of assets and liabilities
► **Banks manage credit risk by using gap analysis page84**
► It is a formal study of what a business is doing currently and where it wants to go in the future

Question No: 34 (Marks: 1) - Please choose one

A U.S. institution, United Bank, buys some financial assets denominated in British pounds. Fluctuations in the dollar value of the pound will give rise to:

► Credit risk
► Operational risk
► **Foreign exchange risk**
► Country risk

Question No: 35 (Marks: 1) - Please choose one

High State Bank purchases some U.S. Treasury bonds. We would view such bonds as being free of:

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► Credit risk
► Interest rate risk
► Reinvestment risk
► **All of the given options**

http://en.wikipedia.org/wiki/Government_debt

Question No: 36 (Marks: 1) - Please choose one

Required reserve-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

► Central bank
► **Bank regulators page111**
► Commercial banks
► Non bank public

Question No: 37 (Marks: 1) - Please choose one

The real purchasing power of money in circulation is expressed as which of the following?

► MV·PY
► **M/P page124**
► PY
► M/Y

Question No: 38 (Marks: 1) - Please choose one

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The FOMC targets the federal funds rate, but if they are going to alter the course of the economy they must influence which one of the following?

- ► The money growth rate as well
- ► The long-term nominal interest rate as well
- **► The real interest rate as well**
- ► The nominal exchange rate as well

Question No: 39 (Marks: 1) - Please choose one

If real interest rate increases, investment will:

- ► Increase
- **► Decrease page126**
- ► Remain constant
- ► None of the given options

Question No: 40 (Marks: 1) - Please choose one

The aggregate demand curve will be relatively flat in which of the following case?

- **► If current output is very sensitive to inflation page131**
- ► If current output is not sensitive to inflation
- ► If policymakers react more cautiously, to a movement of current inflation
- ► If the monetary policy reaction curve is also flat

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Question No: 41 (Marks: 1) - Please choose one

Which of the following will shift the Aggregate Demand curve to the right?

- ► A decrease in autonomous money demand
- ► An increase in Exports
- ► An increase in potential output
- **► An increase in Government purchases page134**

Question No: 42 (Marks: 1) - Please choose one

When you need more units of money to buy the same amount of good which you bought a month or a year ago What does it mean?

- ► Your economy has a high economic growth rate
- ► Your economy's GDP value is more than previous year
- ► Price in your economy is falling causing deflation
- **► Price in your economy is raising causing inflation**

Question No: 1 (Marks: 1) - Please choose one

Investing was an activity reserved for only _____ in the past.

- ► Business men
- ► Traders
- **► Wealthy people page2**
- ► Stock brokers

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Question No: 2 (Marks: 1) - Please choose one

Financial instruments are evolved just as _____.

► **Currency**
► Stock
► Bond
► Commodity

Question No: 3 (Marks: 1) - Please choose one

Which of the following market allowed networks of dealers that are connected electronically?

► New York Stock Exchange
► **NASDAQ** **http://www.investorhome.com/daytrade/spread.htm**
► Large exchanges in London
► Large exchanges in Tokyo

Question No: 4 (Marks: 1) - Please choose one

If at 5% interest rate, $100 payment has a PV of $90.70. Then what will be the PV value of $200 payment? (Without applying formula)

► $45.35
► $272.1
► **$181.4** **page25**
► $362.8

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Question No: 5 (Marks: 1) - Please choose one

_____ measures the probability of worst outcome in any investment project.

► Variance
► Standard deviation
► **Value at risk** **page35**
► Hedging

Question No: 6 (Marks: 1) - Please choose one

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

► $94.00
► **$94.33** **page41 = 100/(1+.06)**
► $95.25
► $96.10

Question No: 7 (Marks: 1) - Please choose one

Which of the following best describes default risk?

► **The chance the issuer will be unable to make interest payments or repay principal** **page51**
► The chance the issuer will retire the debt early
► The chance the issuing firm will be sold to another firm

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► The chance the issuer will sell more debt

Question No: 8 (Marks: 1) - Please choose one

Mr. Ghazanfar wants to invest Rs.2,000 in a bond. If this bond is expected to receive a return of Rs.100 per month and a tax of Rs.3 will be deducted on this return. Then Mr. Ghazanfar made his decision by considering which of the following fact?

► He is attracted by Rs.100 return per month
► **He considers Rs.100 less deduction for tax i.e.Rs.97**
► He takes into consideration only the portion of tax which is deducted
► His decision will not be affected by any of the given factors

Question No: 9 (Marks: 1) - Please choose one

Calculate tax implication on Bond yields. Consider a one year bond face value Rs.100 (issued by Government) with coupon rate of 6%.What is the income of bond that is received at maturity? (Tax rate is 30%).

► **Rs.6**
► Rs.1.80
► Rs.4.20
► Rs.7.80

Question No: 10 (Marks: 1) - Please choose one

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Which of the following statement is true for the given sentence, "that tax affects the bond return"?

► **Because only interest income they receive from bond is taxable page55**
► Because principal amount and interest income they receive from bond is taxable
► Because bond holders are taxpayers
► Because all bond is sold with a condition that tax will be deducted from its return

Question No: 11 (Marks: 1) - Please choose one

The fact that common stockholders are residual claimants means:

► The stockholders receive their dividends before any other residuals are paid
► **The stockholders receive the remains after everyone else is paid page61**
► The stockholders are paid any past due dividends before other claims are paid
► The common stockholders are responsible for all corporate debts

Question No: 12 (Marks: 1) - Please choose one

If a bank sells off all of its assets and pays all of its liabilities the remaining amount would be _____.

► Net profit
► **Net worth**
► Reserves
► Excess reserves

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Question No: 13 (Marks: 1) - Please choose one

_____ measures how efficiently a bank uses its assets.

► **Return on Assets page78**
► Return on Equity
► Bank Capital
► Bank Profitability

Question No: 14 (Marks: 1) - Please choose one

The procedure that estimates the interest rate sensitivity of a bank's assets and liabilities is called _____.

► Managing credit risk
► **Gap analysis page84**
► Trading risk minimization
► Managing liquidity risk

Question No: 15 (Marks: 1) - Please choose one

An insurance company provides liability insurance to a bakery protecting the owner against claims from customers. One area of coverage is protection against food poisoning claims. The insurance company may periodically send an employee into the bakery to observe food preparation and food storage processes. The insurance company is trying to avoid which of the following?

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► Paying claims
► Adverse selection
► **Moral hazard page73**
► Transaction cost

Question No: 16 (Marks: 1) - Please choose one

Which of the following is ***not*** a function of Investment banks?

► Research and advice for investors
► Immediate sale of assets
► **Access to payment system page89**
► Access to spectrum of assets allowed diversification

Question No: 17 (Marks: 1) - Please choose one

Funds of depository institution are primarily used in which of the following?

► Corporate bonds, Government bonds, Stocks, Mortgage
► **Cash, Loan, Securities page89**
► Stocks, Government bonds, corporate bonds, commercial papers
► Commercial papers, Bonds

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Question No: 18 (Marks: 1) - Please choose one

All of the following are the primary sources of funds for depository institutions EXCEPT?

- ► Checkable deposits
- ► Savings and time deposits
- ► **Short term loans page89**
- ► Borrowings from other banks

Question No: 19 (Marks: 1) - Please choose one

Which one of the following refers to the risk assessment and loss reimbursement guarantee by the individual risk experts of the relevant field?

- ► **Underwriting process page86**
- ► Insurance process
- ► Research process
- ► None of the given options

Question No: 20 (Marks: 1) - Please choose one

The "trade off" which can impact bank's likelihood of failure is described as:

- ► The larger the bank in asset size the more likely it will fail
- ► The more competitive the banking environment, the more likely the bank will fail
- ► **The more profitable the bank, the less liquid the bank will be and the more likely it will fail page90**
- ► The greater the regulation from government the more likely the bank will fail

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Question No: 21 (Marks: 1) - Please choose one

On which of the following success of monetary policy depends upon?

- ► It may be on the chance or by luck
- ► The institutional environment
- ► Competent people in responsible positions
- ► **Both the institutional environment and Competent people in responsible positions**

Question No: 22 (Marks: 1) - Please choose one

A central bank's balance sheet would categorize each of the following as liabilities EXCEPT:

- ► Currency
- ► **Gold page100**
- ► Reserves
- ► Accounts of the commercial banks

Question No: 23 (Marks: 1) - Please choose one

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If the required reserve rate is ten percent and banks do not hold any excess reserves and there are no changes in currency holdings, a $2 million open market purchase by the Fed will result in deposit creation of:

► **$20 million** ΔD = (1/rD) ΔRR = (1/10%)* 2million
► $18 million
► $2 million
► $1,800,000

Question No: 24 (Marks: 1) - Please choose one

If required reserves are expressed by RR ; the required reserve rate by rD and deposits by D; the simple deposit expansion multiplier is expressed as:

► $r_D D$
► $(1/r_D)$ D
► **$1/r_D$ page108**
► r_D times 10

Question No: 25 (Marks: 1) - Please choose one

The _____ shows how the quantity of money is related to the monetary base:

► **Money multiplier page108**
► Deposit expansion multiplier
► Fiscal multiplier
► Tax multiplier

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Question No: 26 (Marks: 1) - Please choose one

Central banks today place most of their focus on which of the following?

► The unemployment rate
► The quantity of M2
► Interest rates
► **Controlling the size of the money multiplier**

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement is true regarding monetary policy tools?

► The Fed currently uses a quantity tool for monetary policy
► The required reserve rate is the most easily observable tool
► The federal funds rate is not the best tool because it fails the controllable test of a good monetary policy tool.
► **The central banks cannot set a quantity and a price tool simultaneously**

Question No: 28 (Marks: 1) - Please choose one

Inflation can be thought of as which of the following?

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► **A decrease in the price of money**
► An increase in the price of money
► No change in the price of money, just in the supply of money
► No change in the price of money, just in the demand for money

Question No: 29 (Marks: 1) - Please choose one

If a central bank sets an explicit inflation target it would require which one of the following?

► More emphasis on the interest rate target and less on a money target
► To shift their focus entirely to a nominal interest rate target
► **Willingness to live with more volatility in the interest rate**
► To give up control of targeting the monetary base

Question No: 30 (Marks: 1) - Please choose one

Inflation in the long run would be determined by which one of the following?

► The exchange rate
► Aggregate demand
► **The rate of money growth**
► Aggregate supply

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Question No: 31 (Marks: 1) - Please choose one

Liquidity is the risk that is arises as a result of which one of the following consequences?

► **It arises because of sudden demands of funds page81**
► It arises when two sides of the balance sheet do not match up
► It arises when banks make additional profit by using derivatives
► It arises when loan is not repaid

Question No: 32 (Marks: 1) - Please choose one

For securities issued across international borders, changes in the legal and governmental environment can make it difficult for the investor to collect. Such a risk would be termed as:

► Credit risk
► **Sovereign risk page84**
► Insolvency risk
► Interest rate risk

Question No: 33 (Marks: 1) - Please choose one

In general, if the financial institution's balance sheet displays assets and liabilities that are "mis-matched" to a significant degree, the institution faces:

► Operational risk

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► Sovereign risk
► **Interest rate risk page82**
► Liquidity risk

Question No: 34 (Marks: 1) - Please choose one

The idea that central banks should be independent of political pressure is an idea that:

► Is included in Federal Reserve Act in 1913
► **Is relatively new**
► Every central bank was founded upon
► Became quite popular in the early 1900's

Question No: 35 (Marks: 1) - Please choose one

One thing that is true about economic policy in the U.S. is that:

► **Monetary and Fiscal policy often times conflict**
http://highered.mcgraw hill.com/sites/0073523097/student_view0/chapter15/quiz_1.html
► Fiscal and monetary policy never conflict
► Monetary policy ultimately controls fiscal policy
► Fiscal policy ultimately controls monetary policy

Question No: 36 (Marks: 1) - Please choose one

Which of the following is the component of monetary base?

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► Currency in the hands of the public
► Reserves of the banking system
► Vault cash plus deposits at the central bank
► **All of the given options Page102**

Question No: 37 (Marks: 1) - Please choose one

In the long run, if we ignore changes in velocity then which of the following statement is true?

► **Inflation will equal money growth less the growth in potential output page123**
► Inflation will equal the rate of money growth
► Inflation will be zero
► Inflation will equal money growth plus the growth in potential output

Question No: 38 (Marks: 1) - Please choose one

Complete crowding-out will occur if:

► The money supply rises when Government purchases increases
► An increase in Government purchases does not change Consumption
► **Taxes rise when Government purchases increases**
http://en.wikipedia.org/wiki/Crowding_out_%28economics%29

► An increase in Government purchases causes an equal fall in Consumption,

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Investment, and Net Exports

Question No: 39 (Marks: 1) - Please choose one

An increase in the money supply will do all the following except:

► Increase real GDP in the short-run
► Increase Price level in the long-run
► Increase Price level in the short-run
► **Increase real GDP in the long-run**

http://books.google.com.pk/books?id=fmsP-fTAaCUC&pg=PA293&lpg=PA293&dq=An+increase+in+the+money+supply+will+do+all+the+following+except:+++%E2%96%BA+Increase+real+GDP+in+the+short-run+%E2%96%BA+Increase+Price+level+in+the+long-run+%E2%96%BA+Increase++Price+level+in+the+short-run+%E2%96%BA+Increase+real+GDP+in+the+long-run&source=bl&ots=0SxmyifL1P&sig=pQChE-9EFwDM4iXgj0_kdAsNT94&hl=en&ei=lN8XTKKrKs_CrAetmbShCg&sa=X&oi=book_result&ct=result&resnum=7&ved=0CDUQ6AEwBg#v=onepage&q&f=false
Page 293 Last Paragraph

Question No: 40 (Marks: 1) - Please choose one

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An increase in capital stock, which shifts long-run supply out, will:

► Lower prices and will not change output
► Increase prices and will not change output
► **Lower prices and will increase output**
► Increase prices as well as output

Question No: 41 (Marks: 1) - Please choose one

Components of M_1 ***DO NOT*** include which one of the following?

► Currency in the hands of public
► Demand deposits
► **Small denominations time deposit page11**
► Checkable deposits

Question No: 42 (Marks: 1) - Please choose one

Which one of the following is the unique problem that banks face?

► **They hold illiquid assets to meet liquid liabilities page92**
► They hold liquid assets to meet illiquid liabilities
► They hold liquid assets to meet liquid liabilities
► Both banks' assets and liabilities are illiquid

Question No: 1 (Marks: 1) - Please choose one

Core principles of Money and Banking include each of the following ***Except***?

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► **All people act rationally page3**
► Time has value
► Information is the basis for decisions
► Risk requires compensation

Question No: 2 (Marks: 1) - Please choose one

Which of the following is the final mode of payment?

► **Money**
► ATM
► Cheque
► Yet to discover

Question No: 3 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

► **Debit card**
► Credit card
► Store value card
► Customer card

Question No: 4 (Marks: 1) - Please choose one

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A Financial Intermediary:

► Is an agency that guarantees a loan
► Is involved in direct finance
► **Would be used in indirect finance page69**
► None of the given options

Question No: 5 (Marks: 1) - Please choose one

Which of the following is ***NOT*** a financial instrument?

► A share of General Motors stock
► **A tuition bill page17**
► A U.S. Treasury bond
► A home insurance policy

Question No: 6 (Marks: 1) - Please choose one

Which of the following is true for direct finance?

► Individuals (or firms) borrow directly from banks
► Individuals deposit savings directly in banks
► Firms deposit savings directly in banks
► **Individuals (or firms) borrow directly from the savers**

Question No: 7 (Marks: 1) - Please choose one

If you put $1,000 per year into bank at 4% interest, how much would you have saved

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after 40 years?

- ► $90,000
- ► **$98,826 page23**
- ► $82,286
- ► $85,880

Question No: 8 (Marks: 1) - Please choose one

If an investment will return $1000 ½ of the time and $600 ½ of the time, the expected value of the investment is:

- ► $1,600
- ► **$800 =1/2*1000 + ½* 600**
- ► $400
- ► $900

Question No: 9 (Marks: 1) - Please choose one

_____ is the strategy of reducing overall risk by making two investments with opposing risks.

- ► Spreading the risk
- ► Standard deviation
- ► **Hedging the risk page38**
- ► Variance

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Question No: 10 (Marks: 1) - Please choose one

For a $1000 one year discount bond with a price of $975, the yield to maturity is which of the following?

- ► $975/$1000
- ► **($1000 – $975)/$975**
- ► ($1000 – $975)/($1000)
- ► $1000/$975

Question No: 11 (Marks: 1) - Please choose one

If YTM is less than the coupon rate the price of the bond is _____.

- ► **Greater than its face value page42**
- ► Lower than its face value
- ► Equals to its face value
- ► Insufficient information is given

Question No: 12 (Marks: 1) - Please choose one

Term structure of interest rate can be explained by which one of the following?

- ► Tax difference
- ► Expectation hypothesis
- ► Liquidity premium theory
- ► **Both by expectation hypothesis and liquidity premium theory**

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Question No: 13 (Marks: 1) - Please choose one

The shape of the yield curve is usually:

► **Upward sloping**
► Downward sloping
► Upward sloping for shorter maturities and downward sloping for longer maturities
► Flat

Question No: 14 (Marks: 1) - Please choose one

An index number is a valuable tool because:

► The number by itself provides all of the useful information needed
► **The index provides a meaningful measurement scale to calculate percentage changes**
► The index is more stable than the data it reflects
► It does not require any calculations to compute percentage changes

Question No: 15 (Marks: 1) - Please choose one

Stock market bubbles can lead to:

► An inefficient allocation of resources

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► **Stock market crashes**
► Patterns of volatile returns from the stock market
► All of the given options

Question No: 16 (Marks: 1) - Please choose one

The difference between a bank's reserves and their required reserves is equal to which of the following?

► Equity
► **Excess reserves**
► Net interest income
► None of the given options

Question No: 17 (Marks: 1) - Please choose one

Which one of the following is a way for a bank to deal with credit risk?

► **Add a mark-up to the cost of funds for a specific borrower based on the borrower's credit history**
► Charge all borrowers from the same industry an average rate for that industry
► Avoid making loans to borrowers from a broad spectrum
► Limit the number of loans made in any year

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Question No: 18 (Marks: 1) - Please choose one

What matters most during a bank run is _____.

► **The liquidity of the bank**
► The solvency of the bank
► The number of depositors
► Safety of bank

Question No: 19 (Marks: 1) - Please choose one

Under the purchase and assumption method of dealing with a failed bank, the FDIC _____

► Sells the failed bank to the Federal Reserve
► Finds another bank to take over the insolvent bank
► Takes over the day to day management of the bank
► **Sells off the profitable loans of the failed bank in an open auction**

Question No: 20 (Marks: 1) - Please choose one

Which of the following statements is ***incorrect*** ?

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► The higher the deposit insurance limit the higher the risk of moral hazard
► The lower the deposit insurance limit the lower the risk of moral hazard
► **Deposit insurance limits do not impact moral hazard, they impact adverse selection**
► Increasing the deposit insurance limits above $100,000 would increase coverage for relatively few depositors

Question No: 21 (Marks: 1) - Please choose one

Stable inflation implies which of the following?

► That the rate of inflation averaged over many years is zero(0)
► **That inflation is predictable page95**
► Low rates of unemployment
► All of the given options

Question No: 22 (Marks: 1) - Please choose one

A bank can make new loans as long as it has:

► **Excess reserves page105**
► Required reserves
► Correspondent reserves
► Capital

Question No: 23 (Marks: 1) - Please choose one

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Which one of the following is extended usually overnight to sound institutions on a very short-term basis?

► **Primary credit page113**
► Secondary credit
► Seasonal credit
► All of the given options

Question No: 24 (Marks: 1) - Please choose one

_____ refers to the instruments that are not directly under the control of central bank:

► Financial instruments
► **Intermediate instruments page114 & 115**
► Operating instruments
► All of the given options

Question No: 25 (Marks: 1) - Please choose one

The risk of "insolvency" is basically the risk of:

► Borrowers not paying off lenders in a timely fashion
► Machinery breakdowns
► Not being able to find a buyer for an asset
► **Asset value falling below liability value**

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The risk that an individual or especially a company may be unable to service its debts Insolvency risk is greater when the individual or firm has little or no cash flow, or when it manages its assets poorly. Banks assess insolvency risk when considering whether to make a loan. It is also called bankruptcy risk

Question No: 26 (Marks: 1) - Please choose one

The machinery which is used by Bank for sorting and clearing checks breaks down. This is a manifestation of which of the following risk?

► Credit risk
► **Operational risk**
► Liquidity risk
► Market risk

Question No: 27 (Marks: 1) - Please choose one

In general, if the financial institution's balance sheet displays assets and liabilities that are "mis-matched" to a significant degree, the institution faces:

► Operational risk
► Sovereign risk
► **Interest rate risk**
► Liquidity risk

Question No: 28 (Marks: 1) - Please choose one

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Everything else equal, if the growth rate of a country exceeds its sustainable rate:

► The central bank will keep interest rates low to keep the momentum

► The central bank is likely to raise interest rates to slow the rate of growth

► The central banks will identify the new rate as sustainable rate and try to maintain it

► The central bank is likely to lower the interest rate to offset this boom

Question No: 29 (Marks: 1) - Please choose one

The idea that central banks should be independent of political pressure is an idea that:

► Is included in Federal Reserve Act in 1913

► Is relatively new

► Every central bank was founded upon

► Became quite popular in the early 1900's

Question No: 30 (Marks: 1) - Please choose one

Which of the following type/s of transaction/s affect the balance sheets of both the central bank and the banking system?

► An open market operation

► Central bank's extension of a discount loan

► All of the given options page102

► A foreign exchange intervention

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Question No: 31 (Marks: 1) - Please choose one

Which of the following statements is most appropriate?

► Over the last 10 years the deviations between the target and market federal funds rate have decreased

► The market federal funds rate equals the target federal funds rate

► Over the last 10 years the deviations between the target and market federal funds rate have increased

► There doesn't appear to be any relationship at all between the target and market federal fund rates

Question No: 32 (Marks: 1) - Please choose one

Currency-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

► Central bank

► Bank regulators

► Commercial banks

► Non bank public page111

Question No: 33 (Marks: 1) - Please choose one

Which one of the following statement is true for investment if all other factors are held

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constant?

► An investment with less risk should sell for a lower price and offer a lower return

► An investment with more risk should sell for a lower price and offer a higher return

► An investment with less risk should sell for a lower price and offer a higher return

► An investment with more risk should offer a lower return and sell for a higher price

Question No: 34 (Marks: 1) - Please choose one

An important component of bank capital is _____, an amount the bank set aside to cover potential losses from defaulted loans.

► Reserves

► Loan loss reserves page78

► Unappropriated profit

► Appropriated profit

Question No: 35 (Marks: 1) - Please choose one

If a customer makes a withdrawal of $3 million, from where the bank will deduct this withdrawal?

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► From capital

► From cash at hand

► From reserves page81

► Other assets

Question No: 36 (Marks: 1) - Please choose one

There are _____ type/s of life insurance.

► 1

► 2 page86

► 3

► 4

Question No: 37 (Marks: 1) - Please choose one

Which of the following provides a payment to the policyholder's beneficiaries in the event of the insured's death at any time during the policy term?

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► Life insurance
► **Term life insurance page86**
► Whole life insurance
► Causality insurance

Question No: 38 (Marks: 1) - Please choose one

Which of the following are the primary uses of funds of Finance Company?

► Cash, loans, securities
► Corporate bonds, government bonds
► Commercial paper, bonds, mortgages
► Bonds, bank loans, commercial paper

Primary uses of funds of Finance Company are Mortgages, Consumer loans, Business loans
AND
Bonds, Bank loans, Commercial paper are primary sources of funds of Finance Company

Question No: 39 (Marks: 1) - Please choose one

Which of the following situation in a central bank can wreak havoc on the economic and financial system of a country?

► Weak fiscal policy
► Extreme political pressure
► Incompetence of the central banks
► **Extreme political pressure and incompetence of the central banks**

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Question No: 40 (Marks: 1) - Please choose one

A central bank as banker's bank performs the following role(s):

► **Provide loan during a time of financial stress**
► Manage the payment system
► Oversee commercial banks and the financial system
► All of the given options

Question No: 41 (Marks: 1) - Please choose one

Which of the following are goals of the Central Bank?

► Low employment
► **Low, stable inflation**
► Low exchange rates
► All of the above

Question No: 42 (Marks: 1) - Please choose one

Which of the following is represented by the income statement of a bank?

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► Financial position of a bank
► Financial position of board of directors
► **Performance of a bank**
► Performance of the employees of a bank

Question No: 43 (Marks: 1) - Please choose one

"Pooling the knowledge of a number of people yields better decisions than decision making by an individual" represent which of the following principle of central bank design?

► Independence
► **Decision making by committee page99**
► Accountability and transparency
► Policy framework

Question No: 44 (Marks: 1) - Please choose one

"Policy makers must be held accountable to the public they serve and clearly communicate their objectives, decisions and methods" represent which of the following principle of central bank design?

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► Decision making by committe
► **Accountability and transparency page99**
► Policy framework
► Independence

Question No: 45 (Marks: 1) - Please choose one

Among the asset side of the balance sheet of a central bank which of the following item represent the function of central bank as Banker's bank?

► Currency
► Reserves
► Deposits of the Government
► **Loan to commercial bank page100**

Question No: 46 (Marks: 1) - Please choose one

Monetary base and quantity of money have_____

► **Direct relation page117**
► Inverse relation
► No relation
► Incomplete information

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Question No: 47 (Marks: 1) - Please choose one

When the currency that people are holding loses value much rapidly, what will be the behavior of people?

► **The will spend money as quickly as possible page116**
► They will try to save the money for future
► They will not bother the value of money

► None of the given option

Question No: 48 (Marks: 1) - Please choose one

The _____tells us why high inflation and high money growth go together, and explains why countries can have money growth that is higher than inflation

► Velocity of money
► **Quantity theory of money page118**
► Money growth
► Velocity growth

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Question No: 49 (Marks: 1) - Please choose one

Nominal money demand raises with_____, as more income means more spending, which requires more money.

► Real income
► **Nominal income page120**
► Cost of holding money
► Availability of substitutes

Question No: 50 (Marks: 1) - Please choose one

If inflation exceeds money growth keeping the velocity constant, what will be its effect on real money and aggregate demand?

► Real money balances will rise along with the aggregate demand
► **Real money balances will fall along with the aggregate demand page125**
► Real money balances will rise while the aggregate demand will fall
► Real money balances will fall while the aggregate demand will rise

Question No: 51 (Marks: 1) - Please choose one

The rate will change if one of the following components of aggregate demand that is not sensitive to the real interest rate goes up (or down) or if potential output changes.

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► Consumption
► Investment
► Net exports
► **Govt. spending page126**

Question No: 52 (Marks: 1) - Please choose one

Which of the following factor(s) influence the sensitivity of current output to inflation?

► The strength of the effect of inflation on real money balances
► The extent to which monetary policymakers react to a change in current inflation
► The size of the response of aggregate demand to changes in the interest rate
► **All of the given options page132**

Question No: 53 (Marks: 1) - Please choose one

Which of the following is (are) the reason(s) for inflation being persistent?

► When people expect inflation in the long run they cut the prices
► When people expect inflation in the long run they raise wages and

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► **When people expect inflation to continue, they adjust the prices and wages accordingl page135**
► When people expect inflation to continue, they cut the prices and wages accordingly

Question No: 54 (Marks: 1) - Please choose one

If current output is lower than potential output, the resulting recessionary gap places pressure towards _____ on inflation, causing the short-run aggregate supply curve to shift downward.

► Right
► Left
► Upward
► **Downward page139**

Question No: 1 (Marks: 1) - Please choose one

Stock exchange is an example of:

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► Financial companies
► Financial institution
► **Financial market page2**
► Bank

Question No: 2 (Marks: 1) - Please choose one

In electronic transfer the most common method is to send money through a system maintained by Federal reserve called _____.

► FedEx

► **Fed wire**

Fed wire

Electronic funds transfer network operated by the Federal Reserve. Fedwire is usually used to transfer large amounts of funds and U.S. government securities from one institution's account at the Federal Reserve to another institution's account. It is also used by the U.S. Department of the Treasury and other federal agencies to collect and disburse funds

► Fed transfer
► Fed money

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Question No: 3 (Marks: 1) - Please choose one

Financial markets enable the transfer of risk by:

► Not allowing risk averse investors access to U.S. Treasury bond markets
► making sure that higher default risk is offset by greater liquidity
► **Allowing firms less willing to bear risk to transfer risk to others who are more willing to bear risk**
► enabling even unsophisticated investors to purchase highly complex investment

Question No: 4 (Marks: 1) - Please choose one

Risk sharing is the characteristic of which one of the following?

► Checks
► Checking accounts
► Money
► **Bonds**

Question No: 5 (Marks: 1) - Please choose one

Suppose there are two investments, A and B, investment A has low standard deviation

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where as investment B has high standard deviation. What would you think that most people will choose?

- ► Investment A
- ► Investment B
- ► Indifference between them
- ► **insufficient information to decide**

Question No: 6 (Marks: 1) - Please choose one

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

- ► $94.00
- ► **$94.33** **page41 = 100/ (1+.06)**
- ► $95.25
- ► $96.10

Question No: 7 (Marks: 1) - Please choose one

If YTM equals the coupon rate the price of the bond is _____.

- ► Greater than its face value
- ► Lower than its face value
- ► **Equals to its face value** **page42**
- ► Insufficient information is given

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Question No: 8 (Marks: 1) - Please choose one

The return on the bond is equal to which of the following?

- ► Coupon rate + rate of capital gains
- ► **Current yield + rate of capital gains** **page45**
- ► Coupon rate - rate of capital gains
- ► Current yield - rate of capital gains

Question No: 9 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond supply to the _____

- ► **Right** **page46**
- ► Left
- ► No change
- ► None of the given options

Question No: 10 (Marks: 1) - Please choose one

Which of the following ratings shows "Highest quality and credit worthiness"?

- ► **AAA** **page53**
- ► AA

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► BB
► A

Question No: 11 (Marks: 1) - Please choose one

Which of the following patterns of term structure occur most frequently?
► Ascending yield curve
► Descending yield curve
► **Flat yield curve**
► Humped yield curve

Question No: 12 (Marks: 1) - Please choose one

Which one of the following is NOT true for the expectation hypothesis?
► Risk free interest rate can be computed
► **There is uncertainty in the future page56**
► Identifying yield of bond today that will be available next year
► It focuses on risk free interest rate and the risk premium

Question No: 13 (Marks: 1) - Please choose one

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According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects
► Short-term interest rates to rise sharply
► **Short-term interest rates to stay near their current levels**
► Short-term interest rates to drop sharply
► Short-term interest rates does not change

Question No: 14 (Marks: 1) - Please choose one

The Segmented Markets Theory of term structure suggests that:
► **Investors have strong preferences for bonds of a particular maturity**
► Investors have no preference for short-term bonds over long-term bonds, or vice versa
► Interest rates on long-term bonds strongly influence the demand for short-term bonds
► Bonds of different maturities are perfect substitutes for each other

Question No: 15 (Marks: 1) - Please choose one

Funds of depository institution are primarily used in which of the following?

► Corporate bonds, Government bonds, Stocks, Mortgage
► **Cash, Loan, Securities page89**

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► Stocks, Government bonds, corporate bonds, commercial papers
► Commercial papers, Bonds

Question No: 16 (Marks: 1) - Please choose one

Which one of the following refers to the risk assessment and loss reimbursement guarantee by the individual risk experts of the relevant field?

► **Underwriting process**
► Insurance process
► Research process
► None of the given options

Question No: 17 (Marks: 1) - Please choose one

Regulators of credit unions are which of the following?

► Office of thrift Supervision
► State authorities
► **National Credit Union Administration**
► Federal Reserve System

Question No: 18 (Marks: 1) - Please choose one

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Central banks perform all of the following functions EXCEPT:

► Issue currency
► Operate a payments system
► Control the availability of money and credit
► **Manage fiscal policy**

Question No: 19 (Marks: 1) - Please choose one

One advantage a central bank has over other businesses including banks is that_____.

► It receives all of its funding from the government
► It doesn't have stockholders
► **It can control its balance sheet at its own will**
► It doesn't have a board of directors

Question No: 20 (Marks: 1) - Please choose one

If required reserves are expressed by RR ; the required reserve rate by rD and deposits by D; the simple deposit expansion multiplier is expressed as:

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► rDD
► (1/rD) D
► **1/rD**
► rD times 10

Question No: 21 (Marks: 1) - Please choose one

The central bank makes which type of loans?

► Primary credit
► Secondary credit
► Seasonal credit
► **All of the given options**

Question No: 22 (Marks: 1) - Please choose one

According to Milton Friedman, central banks should set the money growth at:

► **Constant rate page118**
► Increasing rate
► Decreasing rate
► None of the given options

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Question No: 23 (Marks: 1) - Please choose one

The quantity of money people hold for transactions purpose depends on which of the following?

► Their nominal income
► The cost of holding money
► The availability of substitutes
► **All of the given options page120**

Question No: 24 (Marks: 1) - Please choose one

Interest rate risk arises as a result of which one of the following consequences?
► It arises when banks make additional profit by using derivatives
► It arises when loan is not repaid
► It arises because of sudden demands of funds
► **It arises when two sides of the balance sheet do not match up page82**

Question No: 25 (Marks: 1) - Please choose one

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Bank-X's outstanding loans all have fixed interest rates, with maturities in excess of two years. Bank-X's deposit liabilities all have shorter maturity-no more than six months. Bank-X most obviously is facing:

► Liquidity risk
► Operational risk
► **Interest rate risk**
► Credit risk

Question No: 26 (Marks: 1) - Please choose one

One thing that is true about economic policy in the U.S. is that:

► **Monetary and Fiscal policy often times conflict**
► Fiscal and monetary policy never conflict
► Monetary policy ultimately controls fiscal policy
► Fiscal policy ultimately controls monetary policy

Question No: 27 (Marks: 1) - Please choose one

Which of the following type/s of transaction/s affect the balance sheets of both the central bank and the banking system?

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► An open market operation
► Central bank's extension of a discount loan
► **All of the given options**
► A foreign exchange intervention

Question No: 28 (Marks: 1) - Please choose one

The use of lagged reserve accounting usually makes the demand for reserves:

► **Highly unpredictable to the point of volatility**
► Nearly constant with hardly any change at all
► Predictable
► Subject to daily changes by the Fed

Question No: 29 (Marks: 1) - Please choose one

The portfolio demand for money reflects which of the following?

► The money we hold for our everyday transactions
► The money we hold to purchase stocks and bonds and other financial securities
► The portion of wealth people desire to hold in the form of money
► **None of the given option**

Question No: 30 (Marks: 1) - Please choose one

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The FOMC targets the federal funds rate, but if they are going to alter the course of the economy they must influence which one of the following?

► The money growth rate as well
► The long-term nominal interest rate as well
► **The real interest rate as well**
► The nominal exchange rate as well

Question No: 31 (Marks: 1) - Please choose one

Which one of the following statement is true for investment if all other factors are held constant?

► An investment with less risk should sell for a lower price and offer a lower return
► An investment with more risk should sell for a lower price and offer a higher return
► **An investment with less risk should sell for a lower price and offer a higher return**
► An investment with more risk should offer a lower return and sell for a higher price

Question No: 32 (Marks: 1) - Please choose one

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Which of the following are without maturity dates?

► Zero coupon bonds
► Coupon securities
► **Consols**
► Preferred Bonds

Question No: 33 (Marks: 1) - Please choose one

Banking is a combination of businesses designed_____.

► To deliver Services
► To pool the savings
► To make the loans
► **All of the given options**

Question No: 34 (Marks: 1) - Please choose one

Well run banks have _____.

► High interest income
► High interest margin
► **High interest income and high interest margin**
► Low interest income and low interest margin

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Question No: 35 (Marks: 1) - Please choose one

If a customer makes a withdrawal of $3 million, from where the bank will deduct this withdrawal?

► From capital
► From cash at hand
► **From reserves**
► Other assets

Question No: 36 (Marks: 1) - Please choose one

Why banks do not like to meet their deposit outflows by contracting the asset side of the balance sheet.

► **Because it will shrink the size of the bank**
► Because it will shrink the size of the total assets
► Because it will increase the liabilities of the bank
► None of the given options

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Question No: 37 (Marks: 1) - Please choose one

Which of the following technique is necessary for making profit in a bank?

► Interest rate on liabilities must be lower
► Interest rate on deposits must be higher
► Interest rate on deposits must be higher than the interest rate on the liabilities
► **Interest rate on deposits must be lower than the interest rate on the liabilities**

Question No: 38 (Marks: 1) - Please choose one

What is the impact of growth of international banking?
► It increase the competition in the banking market
► It increase the efficiency of banking market

► Profits are harder to come as borrowers and depositors have more options
► **All of the given options**

Question No: 39 (Marks: 1) - Please choose one

Managing _____ is a major concern for today's banks.

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► **Trading risk page84**
► Interest rate risk
► Systematic risk
► Other risk

Question No: 40 (Marks: 1) - Please choose one

Which of the following provides a payment to the policyholder's beneficiaries in the event of the insured's death at any time during the policy term?

► **Life insurance**
► Term life insurance
► Whole life insurance
► Causality insurance

Question No: 41 (Marks: 1) - Please choose one

Which of the following is included in the government-sponsored enterprise?

► Small and Medium Enterprise (SME)
► House Building Finance Corporation (HBFC)
► Khushhali Bank
► **All of the given options page88**

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Question No: 42 (Marks: 1) - Please choose one

Which of the following are the primary uses of funds of Finance Company?

► Cash, loans, securities
► Corporate bonds, government bonds
► Commercial paper, bonds, mortgages
► **Bonds, bank loans, commercial paper**

Question No: 43 (Marks: 1) - Please choose one

Which of the following situation in a central bank can wreak havoc on the economic and financial system of a country?

► Weak fiscal policy
► Extreme political pressure
► Incompetence of the central banks
► **Extreme political pressure and incompetence of the central banks**

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Question No: 44 (Marks: 1) - Please choose one

Which function was the Central Bank originally designed to perform?

► **Control the money supply**
► Clearing checks
► Acting as lender of last resort
► All of the above

Question No: 45 (Marks: 1) - Please choose one

Which of the following are costs of high and/or unexpected inflation?

► Increased uncertainty
► Higher nominal interest rates
► Hurts net creditors
► **All of the above**

Question No: 46 (Marks: 1) - Please choose one

Which of the following side of a balance sheet represent that central bank is a government's bank?

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► Asset side of the balance sheet
► Liabilities side of the balance sheet
► Equity side of the balance sheet
► **The whole balance sheet**

Question No: 47 (Marks: 1) - Please choose one

The legal requirement of reserve of a bank is called_____.

► Actual reserve
► **Required reserve**
► Excess reserve
► None of the given option

Question No: 48 (Marks: 1) - Please choose one

If a bank holds excess reserve it depends upon which of the following?

► Cost of holding the excess reserve
► Benefit of holding excess reserve

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► Duration of holding excess reserve
► **Cost and benefit of holding excess reserve**

Question No: 49 (Marks: 1) - Please choose one

The number of times each rupee is used (per unit of time) in making payments is called the_____.

► **Velocity of money page117**
► Quantity of money
► Exchange of money
► Aggregate money

Question No: 50 (Marks: 1) - Please choose one

Portfolio demand for money goes up as the riskiness of the alternative _____

► Falls
► **Rises page123**
► Remain stable
► Cannot be determined

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Question No: 51 (Marks: 1) - Please choose on

Monetary policy makers react to changes in current inflation by changing the _____

► Effective interest rate
► None of the given options
► **Real interest rate**
► Nominal interest rate

Question No: 52 (Marks: 1) - Please choose one

With a higher inflation target, the central bank will set a lower current _____ at every level of current inflation, shifting the monetary policy reaction curve to the right.

► **Real interest rate page129**
► Nominal interest rate
► Effective interest rate
► None of the given options

Question No: 53 (Marks: 1) - Please choose one

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Who set the relationship between current inflation and real interest rate?

► **Monetary policy makers**
► Fiscal policy makers
► Budget makers
► Monetary policy maker or fiscal policy maker

Question No: 54 (Marks: 1) - Please choose one

Inflation falls and output rises until the economy returns to the point where current output _____ potential output and inflation equals the central bank's target.

► **Equals**
► Greater than
► Lower than
► Incomplete information

Question No: 1 (Marks: 1) - Please choose one

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If more students didn't pay back their student loans then which of the following statement would imply?

► Student loans may become more difficult to obtain
► **The interest rate on student loans would increase**
► Fewer people may attend college
► All of the given options

Question No: 2 (Marks: 1) - Please choose one

Price of 100 goods under the barter system would be _____.

► 5050
► 19800
► **4950**
► 20200

Question No: 3 (Marks: 1) - Please choose one

Recently M2 and M3 have become:

► A less useful measure of the relationship between the money supply and inflation
► **The money supply, the Federal Reserve pays the most attention to, in conducting monetary policy**
► Less useful than M1 due to new substitutes for standard checking account

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► The slowest growing of all of the money aggregates

Question No: 4 (Marks: 1) - Please choose one

Economic research shows:

► There is a strong inverse correlation between financial market development and economic growth

► There is weak relation between financial market development and economic growth around 0.25

► There is a relatively strong positive correlation between financial market development and economic growth

► There isn't any correlation between financial market development and economic growth

Question No: 5 (Marks: 1) - Please choose one

Considering the value of a financial instrument, the longer the time until the promised payment is made:

► The less valuable is the promise to make it since time is valuable

► The greater the risk, therefore the promise has greater value

► The more valuable is the promise to make it

► It has no effect on the value of instrument

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Question No: 6 (Marks: 1) - Please choose one

Which of the following market allowed networks of dealers that are connected electronically?

► New York Stock Exchange

► NASDAQ

► Large exchanges in London

► Large exchanges in Tokyo

Question No: 7 (Marks: 1) - Please choose one

Bonds that are issued by Government are called _____.

► Government bonds

► Treasury bonds

► Corporate bonds

► Callable bonds

Question No: 8 (Marks: 1) - Please choose one

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Asma deposits funds into a CD account at her bank. The CD account has an annual interest of 4.0%. If Asma leaves the funds in the CD account for entire two years she will have $1081.60. What amount is Asma depositing?

- ► $960.60
- ► $900.00
- ► $1005.00
- **► $1000.00**

Question No: 9 (Marks: 1) - Please choose one

Which of the following investment will be profitable?

- ► IRR is less than cost of borrowing
- ► IRR is equal to cost of borrowing
- **► IRR is greater than cost of borrowing**
- ► IRR has no connection with cost of borrowing

Question No: 10 (Marks: 1) - Please choose one

Suppose there are two investments, A and B, investment A has low standard deviation where as investment B has high standard deviation. What would you think that most people will choose?

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- **► Investment A**
- ► Investment B
- ► Indifference between them
- ► Insufficient information to decide

Question No: 11 (Marks: 1) - Please choose one

The liquidity premium theory suggests that yield curves should usually be:

- **► Up-sloping**
- ► Inverted
- ► Flat
- ► Up-sloping through year 1, then flat thereafter

Question No: 12 (Marks: 1) - Please choose one

What will the yield curve look like if future short-term interest rates are expected to rise sharply?

- **► It will steeply slope upward**
- ► It will be horizontal
- ► It will slightly slope upward
- ► It will slope downward

Question No: 13 (Marks: 1) - Please choose one

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The fact that a financial intermediary can use the same contract for many customers is an example of:

- ► Economies of Scope
- ► The Law of Diminishing Marginal Returns
- ► The Law of Increasing Opportunity Cost
- ► **Economies of Scale**

Question No: 14 (Marks: 1) - Please choose one

Which of the following does not include in the bank's reserves?

- ► Treasury bills
- ► Currency in the bank
- ► Bank's deposits at the Federal Reserves
- ► **Currency in ATM machines**

Question No: 15 (Marks: 1) - Please choose one

_____ measures how efficiently a bank uses its assets.

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- ► **Return on Assets page78**
- ► Return on Equity
- ► Bank Capital
- ► Bank Profitability

Question No: 16 (Marks: 1) - Please choose one

One way for a bank to deal with liquidity risk is _____.

- ► **To hold sufficient excess reserves**
- ► To charge all borrowers from the same industry an average rate for that industry
- ► To avoid making loans to borrowers from a broad spectrum
- ► To limit the number of loans made in any year

Question No: 17 (Marks: 1) - Please choose one

Which of the following is the primary source of funds for Depository institutions?

- ► Short term loans
- ► Shares sold to customers
- ► **Savings and time deposits page89**
- ► Commercial papers

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Question No: 18 (Marks: 1) - Please choose one

Which one of the following refers to the risk assessment and loss reimbursement guarantee by the individual risk experts of the relevant field?

► **Underwriting process**
► Insurance process
► Research process
► None of the given options

Question No: 19 (Marks: 1) - Please choose one

"Financial regulations restrict the assets that banks can own". Which one of the following provides the reason for that ?

► Because it limits the growth rate of banks
► **Because it combats the moral hazard that government safety nets provide**
► Because it prevents banks from being too profitable
► Because it keeps banks from spending lavishly on perks for executives

Question No: 20 (Marks: 1) - Please choose one

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An open market purchase of U.S. Treasury securities by the Fed will cause the Fed's balance sheet to show _____.

► A decrease in the asset of securities and a decrease in the liability of reserves
► A decrease in the liability of reserves
► No change in the size of balance sheet except composition of assets
► **An increase in the asset category of securities and the liability category of reserves**

Question No: 21 (Marks: 1) - Please choose one

Identify the most appropriate statement.

► The FOMC sets the federal funds rate
► The discount rate is the primary policy tool of the FOMC
► The difference between the target and actual federal funds rate is the dealer's spread
► **The FOMC sets the target federal funds rate**

Question No: 22 (Marks: 1) - Please choose one

Which one of the following refers to actual tools of policy instruments that the central bank controls directly?

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► **Operating instruments page114**
► Intermediate instruments
► Financial instruments
► None of the given options

Question No: 23 (Marks: 1) - Please choose one

Which one of the following is used primarily by small agricultural banks to help in managing the cyclical nature of farmer's loans and deposits?

► Primary credit
► Secondary credit
► **Seasonal credit page113**
► All of the given options

Question No: 24 (Marks: 1) - Please choose one

Over the long run if central banks want to avoid high rates of inflation they need to be concerned with which of the following?

► Unemployment
► **Money growth**
► Real economic growth
► Productivity of labor

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Question No: 25 (Marks: 1) - Please choose one

If M = the money supply; Y = real output, P = the price level, and V = velocity, which of the following equals the income velocity of money?

► (P·Y) + M
► (P·M)/Y
► (Y·M)/P
► **(P·Y)/M page117**

Question No: 26 (Marks: 1) - Please choose one

Key assumptions behind the quantity theory of money include which of the following?

► The change in nominal GDP is zero
► Percentage change in the price level equals the percentage change in real GDP

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► **The velocity of money is constant**
► The money supply is fixed

Question No: 27 (Marks: 1) - Please choose one

Identify the correct statement.

► When the real interest rate increases the reward for saving decreases
► When the real interest rate decreases the cost of current consumption increases
► **When the real interest rate increases current consumption becomes more expensive and reward for saving increases**
► When the real interest rate increases only the reward for saving increases

Question No: 28 (Marks: 1) - Please choose one

Which one of the following is ***NOT*** true for gap analysis?
► It is the difference between the yield on interest sensitive assets and liabilities
► It is the difference in the maturity of assets and liabilities
► Banks manage credit risk by using gap analysis
► **It is a formal study of what a business is doing currently and where it wants to go in the future**

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Question No: 29 (Marks: 1) - Please choose one

Currency-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

► Central bank
► Bank regulators
► Commercial banks
► **Non bank public page111**

Question No: 30 (Marks: 1) - Please choose one

What kind of relationship is there between rate of inflation and aggregate demand?
► Positive relationship
► **Negative relationship page125**
► Direct relationship
► Strong relationship

Question No: 31 (Marks: 1) - Please choose one

If real interest rate increases, investment will:
► Increase

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► **Decrease page126**
► Remain constant
► None of the given options

Question No: 32 (Marks: 1) - Please choose one

Complete crowding-out will occur if:
► The money supply rises when Government purchases increases
► An increase in Government purchases does not change Consumption
► **Taxes rise when Government purchases increases**
► An increase in Government purchases causes an equal fall in Consumption, Investment, and Net Exports

Question No: 33 (Marks: 1) - Please choose one

The long-run supply curve is:
► Horizontal
► **Vertical page138**
► Downward-sloping
► Upward-sloping

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Question No: 34 (Marks: 1) - Please choose one

Which of the following is ***NOT*** an example of financial institutions?
► Bank
► Securities firm
► **Stock exchange page20**
► Insurance company

Question No: 35 (Marks: 1) - Please choose one

Which of the following is the modern way of transferring fund or making payment?
► Paychecks system
► **Electronic fund transfer**
► Mailed transction
► Local bank

Question No: 36 (Marks: 1) - Please choose one

_____ evolved from coffee houses to trading places to electronic networks.
► Financial companies
► **Financial markets page2**
► Financial institutions
► Financial intermediaries

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Question No: 37 (Marks: 1) - Please choose one

Which of the following is the formula for calculating ROE (Return on equity)?

- ROE = Net profit before taxes / bank capital
- ROE = Net profit after taxes / total assets
- **ROE = Net profit after taxes / bank capital** **page78**
- ROE = Net profit before taxes / total assets

Question No: 38 (Marks: 1) - Please choose one

Which of the following is related to leverage?

- **Return on assets and return on equity page78**
- Return on assets
- Return on equity
- None of the given options

Question No: 39 (Marks: 1) - Please choose one

Which of the following technique is necessary for making profit in a bank?

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- Interest rate on liabilities must be lower
- Interest rate on deposits must be higher
- Interest rate on deposits must be higher than the interest rate on the liabilities
- **Interest rate on deposits must be lower than the interest rate on the liabilities**

Question No: 40 (Marks: 1) - Please choose one

Which of the following are the primary uses of funds of Insurance Company?

- Cash, loans, securities
- **Corporate bonds, government bonds** **page89**
- Commercial paper, bonds, mortgages
- Mortgages, consumer loans, business loans

Question No: 41 (Marks: 1) - Please choose one

The higher the inflation is, the less predictable it is, and the more _____risk it creates.

- Trading
- Inflation

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► **Systematic page95**
► Non-systematic

Question No: 42 (Marks: 1) - Please choose one

Which of the following are costs of high and/or unexpected inflation?

► Increased uncertainty
► Higher nominal interest rates
► Hurts net creditors
► **All of the above**

Question No: 43 (Marks: 1) - Please choose one

Which of the following side of a balance sheet represent that central bank is a government's bank?

► Asset side of the balance sheet
► Liabilities side of the balance sheet
► Equity side of the balance sheet
► **The whole balance sheet**

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Question No: 44 (Marks: 1) - Please choose one

_____of a bank is a liability for the bank but that deposit creates reserves of that bank in the central bank that is asset for the bank.

► **Deposits**
► Currency
► Loan
► Security

Question No: 45 (Marks: 1) - Please choose one

If we label the quantity of money *M* and the monetary base *MB*, the money multiplier *m* is defined by which of the following relationship?

► **M= m x MB page108**
► M= m / MB
► M= m – MB
► M= m + MB

Question No: 46 (Marks: 1) - Please choose one

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If a bank holds excess reserve it depends upon which of the following?

► Cost of holding the excess reserve
► Benefit of holding excess reserve
► Duration of holding excess reserve
► **Cost and benefit of holding excess reserve**

Question No: 47 (Marks: 1) - Please choose one

If a 45 degree line on a graph shows that average annual inflation is exactly equal to the average annual money growth, what will be the position of money growth and inflation below the 45 degree line?

► Money growth = inflation
► **Money growth < inflation page116**
► Money growth > inflation
► Incomplete information

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Question No: 48 (Marks: 1) - Please choose one

_____ grow at a rate equal to the rate of real growth plus the desired level of inflation.

► Monetary base
► **Monetary aggregates page118**
► Money multiplier
► Deposit multiplier

Question No: 49 (Marks: 1) - Please choose one

With an inflation objective of 2% and real growth forecast of 3.5%, equation of exchange tells us that policy makers should set velocity growth at 3%, according to this equation what would be the money growth?

► 8%
► 4%
► **2.5%**
► 1%

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Question No: 50 (Marks: 1) - Please choose one

When interest rates are expected to_____, money demand goes up as people switch from holding bonds into holding money.

► **Rise page123**
► Decrease
► Remain stable
► Incomplete information

Question No: 51 (Marks: 1) - Please choose one

Portfolio demand for money goes up as the liquidity of alternatives _____

► **Falls page123**
► Rises
► Remain stable
► Cannot be determined

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Question No: 52 (Marks: 1) - Please choose one

Rising inflation makes foreign goods cheaper in relation to domestic goods, driving imports _____ and net exports _____.

► **Up, down page133**
► Down, up
► Down, down
► Up, up

Question No: 53 (Marks: 1) - Please choose one

Inflation falls and output rises until the economy returns to the point where current output _____ potential output and inflation equals the central bank's target.

► **Equals**
► Greater than
► Lower than
► Incomplete information

Question No: 54 (Marks: 1) - Please choose one

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_____in the aggregate demand curve, regardless of its source, will change inflation but not output.

- ► Upward shift
- ► Downward shift
- **► Any shift**
- ► None of the given options

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